

SENATE BILL 1390

By Watson

AN ACT to amend Tennessee Code Annotated, Title 71,
relative to TennCare.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 71, Chapter 2, is amended by adding the following as a new part:

71-2-601.

As used in this part:

- (1) "Bureau" means the bureau of TennCare;
- (2) "Director" means the director of TennCare; and
- (3) "PACE program" means a program of all-inclusive care for elderly persons that provides comprehensive, integrated acute and long-term care services for frail, elderly individuals who require the level of care provided in a nursing facility and who meet eligibility criteria established by the federal centers for medicare and medicaid services (CMS).

71-2-602.

(a) The bureau shall authorize an additional PACE program as a pilot in one (1) of the two (2) grand divisions where a PACE program did not exist in 2024.

(b) A prospective PACE applicant for the pilot program shall submit a letter of intent to the bureau indicating the prospective applicant's intent to submit a PACE application. The letter of intent must identify:

- (1) The prospective applicant;

(2) The proposed service area, including the proposed zip codes and a service area map; and

(3) The proposed site location for the applicant's PACE center.

(c) The director shall ensure PACE applicants meet the program eligibility criteria under 42 CFR Part 460 and certify that applicants are qualified to be PACE providers in the proposed geographic service area.

(d) PACE applicants shall submit a market analysis of the proposed service area, which must include:

(1) An estimate of the number of PACE eligible individuals;

(2) A description of the methodology and assumptions used to determine the potential membership;

(3) The projected market capture and saturation rate; and

(4) A demonstration that there is an unmet need for a PACE program in the proposed service area.

(e) The director shall ensure that managed care organizations and all appropriate options counseling entities consider the availability of the PACE program when considering whether to refer a recipient to a nursing facility or other long-term care facility and establish protocols for the referral of eligible persons to the PACE program.

(f) The bureau shall ensure all PACE programs and organizations meet the quality and performance standards established by CMS and the bureau. The bureau shall oversee and monitor the PACE programs and organizations based upon data and reports that must be periodically submitted by PACE organizations to CMS and the bureau.

(g) On or before January 1, 2026, and on or before January 1 each year thereafter, the bureau shall provide a PACE program report to the speaker of the house

of representatives, speaker of the senate, chair of the finance, ways, and means committee of the senate, and chair of the committee of the house of representatives having jurisdiction over finance-related matters.

(h) The director is authorized to promulgate rules to effectuate this part. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

71-2-603.

If a PACE program exists in a county having a population of not less than three hundred sixty-six thousand two hundred (366,200) nor more than three hundred sixty-six thousand three hundred (366,300), according to the 2020 federal census or a subsequent federal census, then the service area of the program may expand into contiguous counties having:

(1) A population of not less than twelve thousand seven hundred (12,700) nor more than twelve thousand eight hundred (12,800), according to the 2020 federal census or a subsequent federal census;

(2) A population of not less than thirty-two thousand eight hundred (32,800) nor more than thirty-two thousand eight hundred seventy-five (32,875), according to the 2020 federal census or a subsequent federal census; or

(3) A population of not less than one hundred eight thousand six hundred (108,600) nor more than one hundred eight thousand seven hundred (108,700), according to the 2020 federal census or a subsequent federal census.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.